

Lump-sum taxes



The UK government's introduction of a lump-sum tax in 1989–90 (dubbed the Poll Tax) sparked widespread protests at its perceived unfairness.

Economists view taxation as a necessary evil: people need governments, but taxes have incentive effects that hamper markets – income tax might make people work less, for example. Lump-sum taxes are fixed amounts to be paid by everyone regardless of income: they are an important kind of tax because they have no incentive effects. Because work decisions have no impact on my tax bill, I ignore the tax when deciding how much to work: the marginal tax – the rate of tax on extra work – for a lump-sum tax is zero.

In this sense, lump-sum taxes don't interfere with market incentives. However, the average rate – the share of total income paid in tax – for a lump-sum tax is higher at lower income levels, making them 'regressive' taxes. At an income of £10,000, a £1,000 lump-sum tax would imply an average rate of 10 per cent.

At £1,000 income, the rate would be 100 per cent. The poor pay proportionately more, so although lump-sum taxes are efficient, many believe them to be unfair.